

2021, this grew to 109,000 and 251,000 at a CAGR of 1.9 and 12.5 per cent, respectively. Growth in Tier II and III cities has already started to outperform that in Tier I cities,” he says, adding that 15 per cent aircraft operated by all airlines are regional aircraft, and this count is expected to increase fivefold in the next two decades.

IN A HIGHLY price-sensitive market with cutthroat competition, airlines have to carefully manoeuvre the high input costs in terms of aviation turbine fuel (ATF), maintenance and leasing, which can exceed 60 per cent of total operating costs. Point to note: more than 30 airlines have shut down since India liberalised its aviation sector in 1990.

The biggest concern is the high cost of ATF for domestic operations, which can vary from 25 per cent of total operational costs for a single-engine aircraft to up to 45 per cent for a large passenger jet. In FY2021-22, the cost of refuelling for domestic airlines has gone up by up to 90 per cent, increasing overall costs of airline operations. Varying levels of state taxes and the value-added tax (VAT) result in ATF being priced steeply.

All carriers that *Business Today* approached for this story said that the current volatility in global crude oil prices may be a good time for the government to bring jet fuel under GST. “Rationalisation of taxes will result in high growth for the sector, effecting a multiplier effect throughout the economy,” says IndiGo’s Dutta. Concur a SpiceJet spokesperson: “It’s a long-standing demand that’s critical for our industry. You can’t have the highest costs and the lowest fares.”

“A flat uniform tax rate on ATF—VAT or GST—given the volatility in global fuel prices, will certainly provide immediate relief for carriers on cash outflows. Ru-

pee depreciation and increase in crude prices can hurt the Indian carriers just as they are building back capacity and international air spaces are opening up,” warns S. Vasudevan, Partner and Global Airports Lead, Aerospace & Defence, KPMG. Further, the 15-day cap by the government on pricing limits airlines’ ability to offer dynamic fares. “If the government is regulating airfares—thereby restricting revenues—should it then also not cap input costs of the airline?” asks an airline CEO. “Pricing should be and must be driven by a free-market economy and consumer demand, and not superficially through external regulations.”

“Due to impending competition from new players and more capacity coming into the domestic market, there may be small bouts of low fares, which may be used by airlines to create demand,” says K.G. Vishwanath, Founder & Partner, Trinity Aviation Consultants. Industry insiders feel that established players like IndiGo, SpiceJet and Go First may yet resort to aggressive pricing to smoke out new competition.

Domestic air traffic improved sequentially to 7.69 million passengers in February 2022 as against 6.41 million passengers in January 2022, according to data from India’s aviation regulator—Directorate General of Civil Aviation (DGCA). Bookings at the country’s leading online travel aggregators have already revived significantly. “Overall travel sentiment is rising on a week-on-week basis and will hopefully surpass previously recorded numbers in the coming months. Within the airline segment, we have already touched 100 per cent recovery in comparison to pre-Covid-19 levels,” says Vipul Prakash, COO at India’s largest online travel agency, MakeMyTrip.

Together with passenger traffic, the market for aviation jobs is also seen to be reviving steadily since last October. “In the past 3-4 months, around 1,200 Frankfinn students have been placed in various domestic and international airlines. This number is bound to go up exponentially in the coming months,” informs Kulwinder Singh Kohli, Founder & Non-Executive Chairman, Frankfinn Institute of Air Hostess Training. On March 24, Minister of State for Civil Aviation, General V.K. Singh, told the Lok Sabha in a written reply: “It is estimated that India has a requirement of around 1,000 fresh commercial pilots per annum over the next 5-6 years.”

Gopinath, meanwhile, believes that India can easily sustain 30-40 airlines. “Those carriers needn’t be large-sized but must be given ample opportunity for growth,” he says. That would surely bring in many more flyers into Indian planes. It would also intensify the dogfight for market share in the Indian skies. **BT**

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